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Balance sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
Capital	33,00,000		Land		21,50,000
Less: Net loss	4,49,000		Stock in trade		2,50,000
	28,51,000		Bank deposits		2,00,000
Less: Drawings	1,66,000	26,85,000	Cash in hand		97,000
Sundry creditors		12,000			
		26,97,000			26,97,000

Tutorial note

Trading account and profit and loss account are prepared together. The first part is trading account, whereas the second part is profit and loss account.

Points to remember

- Trading and profit and loss account is a nominal account in nature. It means that while preparing this account, the rule of nominal account is followed.
- On the debit side of trading account, direct expenses and opening stock are shown.
- Direct expenses include the purchase price of goods purchased and all other expenses which are incurred to bring the goods to the business premises or godown and to make these ready for sale.
- On the credit side of trading account direct income, i.e. sales and closing stock are shown.
- On the debit side of profit and loss account, indirect expenses and losses are shown.
- On the credit side of this account, indirect incomes and gains are shown.
- Indirect expenses are those expenses incurred for office, administration and selling and distribution.
- Indirect incomes and gains are the incomes or gains which are not directly related to the operation of business enterprise. For example, interest received on the deposits in the bank.
- Balance sheet is a statement and not an account. On the left side liabilities including capital and on the right side the assets are shown in the balance sheet.
- Assets are the resources owned by a business entity. Liabilities are claims against the business or the amounts owed by business to outsiders and owners.